

Earning Calculations

The calculation of monthly earnings for employees is based on formula that accounts for the actual number of days present in a given month. The calculation is the "Month Days"—defined as the total number of calendar days within the specific month being processed (e.g., 28/29 in February, 30 in April, 31 in May).

Calculation Formula

The formula for determining the monthly payout for various salary components is: **Actual Component / Total Month Days * Present Days**

Application

This calculation method applies to the following salary components:

- Basic Salary
- Dearness Allowance (DA)
- Incentive
- Medical Allowance
- House Rent Allowance (HRA)

Example (Month of April - 30 Days): If an employee has an actual basic salary of 9,775 and was present for 21 days, the calculation is: $9,775 / 30 * 21 = 6,842.50$

Provident Fund (PF) Calculation

The Provident Fund calculation is contingent upon the sum of specific salary components: **Basic + DA + Incentive + Medical**. The methodology changes based on whether this sum exceeds a ₹15,000 threshold.

Scenario A: Components Exceed ₹15,000

When the sum of the specified components is greater than ₹15,000, calculations are capped at the ₹15,000 limit:

- **Employee PF:** ₹15,000 * 12%
- **Employer PF (EMPPF):** ₹15,000 * 3.67%
- **Employees' Pension Scheme (EPSPF):** ₹15,000 * 8.33%
- **Total PF Contribution:** EMPPF + EPSPF

Scenario B: Components are ₹15,000 or Less

When the sum of the components does not exceed the threshold, the PF is calculated on the actual total:

- **PF:** (Basic + DA + Incentive + Medical) * 12%

Employees' State Insurance Corporation (ESIC) Calculation

ESIC contributions are calculated as a percentage of the Gross Earning. The documentation identifies two specific rates for employee and employer shares.

Contribution Type	Formula
Employee ESIC	Gross Earning * 0.75 / 100
Employer ESIC (EMPESIC)	Gross Earning * 3.25 / 100

Professional Tax (PTAX) Calculations

Professional Tax is calculated based on the PTAX Basis, which is the sum of Basic + DA + HRA + Incentive + Medical. The tax amount is graduated based on income slabs, with increased deductions occurring in March to reach yearly targets.

PTAX Slab Structure

PTAX Value Range	Monthly Deduction	March Deduction	Total Yearly Tax
> ₹18,750 and < ₹25,000	₹125	₹125	₹1,500
> ₹25,000 and < ₹33,333	₹166	₹174	₹2,000
> ₹33,333	₹208	₹212	₹2,500

Mandatory Compliance Alert: March Adjustments

To satisfy the statutory yearly total, payroll processors must manually or programmatically adjust the final month (March) deduction. Failure to perform these adjustments results in a reconciliation error.

- **Slab 2 Verification:** (₹166 * 11 months) + ₹174 = ₹2,000
- **Slab 3 Verification:** (₹208 * 11 months) + ₹212 = ₹2,500